

Parle Tilak Vidyalaya Association's
MULUND COLLEGE OF COMMERCE (Autonomous)

F.Y. BBA Semester I
Examination of November 2024

Subject: Financial Accounting for Business
Date: 26/11/2024

Marks: 60
Time: 2 Hour

- Note:** 1. All Questions are compulsory.
2. Use of simple calculator is allowed.
3. Figures to the right indicate full marks.

- Q.1 Pass Journal Entries in the books of sony for the month of January, 2024 (15)
1. Sold goods worth Rs. 5,000 to Mary
 3. Mary returned goods worth Rs. 1,000
 6. Sold goods worth Rs. 10000 to Rashi @ 10 % trade discount
 8. Paid Salary Rs. 3,000
 9. Received Commission Rs. 2,000
 12. Sold Furniture for Rs. 20,000 for cash.
 13. Drew cash from bank for office use Rs. 3,000
 16. Cash Purchases amounted to Rs. 30,000

OR

- Q.1 A) Write a note on objectives of accounting. (08)
- B) Write a note on branches of Accounting? (07)
- Q.2 On 31st December, 2022 Cash Book of Mr. Joy showed a debit balance of Rs. 75000 when compared with pass book, the following facts were discovered : (15)
- a) On 30th December, two cheques of Rs. 5,000 and Rs. 7,000 were deposited in the bank but were not realized till date.
 - b) On 28th December, three cheques of Rs. 6,000, Rs. 8000 and Rs. 12,000 were issued, but these were not yet presented.
 - c) on 31st December, Bank credited Rs. 1,250 as interest but this was not recorded in the cash book.
 - d) Similarly, bank had charged Rs. 150 but this was not recorded in the cash book.
 - e) Cheque deposited and cleared Rs. 5000 but wrongly entered twice in cash book
 - g) Credit side of cash book overcasted by Rs. 1000
 - h) Insurance Premium paid by bank under standing instruction but the intimation is still not received Rs. 1000

OR

Q.2 Enter the following transactions in the proper subsidiary books for the month of January 2023 (15)

Jan 2023	Particulars	Amt
1	Bought goods from Darren	10,000
2	Sold goods to Shiv	4,000
8	Received goods returned by Shiv	500
11	Sold goods to Reynold	8,000
12	Reynold returned us goods	2,000
15	Bought goods from Nutan	6,500
17	Returned goods to Nutan	1,500
18	Sold goods to Babu	7,500
22	Sold goods to Dhiren	2,600
29	Dhiren returned us goods	1,800

Q.3 State whether the following items are capital or revenue. State with reasons

- Cost of Machine purchased Rs. 2,00,000
- Repairs to keep the machinery in good working condition amounted to Rs. 20,000
- Term Loan taken from bank amounted to Rs. 3,00,000
- Interest paid Rs. 10,000 on Bank Overdraft
- Legal Expenses of Rs. 3,000 in collection of debts from customers
- Dividend and Interest Received Rs. 10,000 on investments.
- Payment for Salaries Rs. 20,000

OR

Q.3 (A) On 1st April, 2020, Vir & Co Ltd, Mumbai purchased machinery for Rs. 1,00,000. (8)

On 1st October, 2020 additional machinery was purchased for Rs. 40,000. On 30th September, 2022, the company sold a machine (costing Rs. 20,000 on 1st April, 2020) for Rs. 12,000.

Company closes the accounts on 31st March every year and decided to charge depreciation at 10 % p.a on original cost of machinery.

You are required to prepare Machinery A/c and Depreciation A/c for the years 2020-21, 2021-2022 and 2022-23

Q.3 (B) Prepare Trial Balance from the following balances extracted as on 31st March, 2022 (7)

Particulars	Amt	Particulars	Amt
Cash	50,000	Bank Loan	40,000
Accounts Receivable	30,000	Capital	60,000
Inventory	20,000	Reserve Fund	15,000
Prepaid Expenses	5,000	Sales	1,50,000
Office Furniture	7,000	Rent	8,000
Equipment	80,000	Travelling Expenses	4,000
Outstanding Salaries	15,000	Interest Paid	2,000
Accounts Payable	25,000	Advertisement	3,000
Loan taken from Mr. Ajay	10,000	Income Tax Payable	5,000

Q.4 Prepare a two column cash book with the help of the following information for the month of January, 2022 (15)

Jan 2022	Particulars	Amt
1	Started business with cash	1,20,000
3	Cash deposited in bank	50,000
5	Purchased goods from Sandesh on credit	20,000
6	Sold good to Jimmy and received a bearer cheque	20,000
10	Paid to sandesh	--
14	Sold goods to Nilesh and received cash	12,000
18	Carriage paid in cash	500
20	Received dividend in bank account	4,000
22	Commission received	5,000
27	Drew cash for personal use	2,000
30	Cash sales	40,000

OR

Q.4) Ganesh Trial Balance as on 31st March, 2023 is as follows : (15)

Particulars	Dr Amt	Cr Amt	Particulars	Dr Amt	Cr Amt
<u>Opening Stock</u>			Printing and Stationary	5,200	
Raw Materials	2,50,000		Bank Charges	2,500	
Work in Progress	80,000		Travelling Expenses	10,000	
Finished Goods	2,20,000		Discount	3,300	
Purchases	2,15,000		Sales Return	11,000	
Buildings	1,50,000		Advertisement	5,500	
Plant and Machinery	3,60,000		Sales		7,80,000
Furniture	40,000		Capital		8,50,000
Trademark	30,000		Sundry Creditors		52,000
Wages	83,000		Sundry Debtors	8,2500	
Factory Taxes	4,000		Discount		2,500
Motive Power	9,000		Miscellaneous Expenses	5,500	
Factory Insurance	5,000		Bills Payable		34,000
Salary to Office Staff	11,000		Bills Receivable	16,000	
Office Rent	10,500		Corporation Bank	98,000	
Carriage Inward	2,500		Cash in Hand	9,000	
				17,18,500	17,18,500

Additional Information :

- Closing Stock : Raw Materials – Rs. 85,000, Work in Progress – Rs. 30,000, Finished Goods – Rs. 2,05,000.
- Factory Taxes prepaid Rs. 2,000
- Depreciation on Furniture @ 10 % , Plant & Machinery @ 15 % , Trade Marks @ 20 % and Building @ 5 %
- Prepare Manufacturing A/c, Trading and Profit and Loss A/c for the financial year 2023-24 and Balance Sheet as on that date.